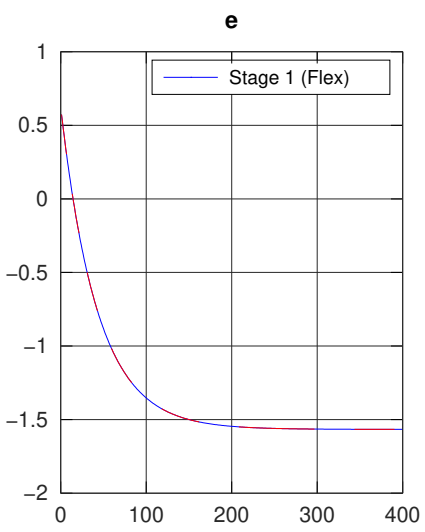
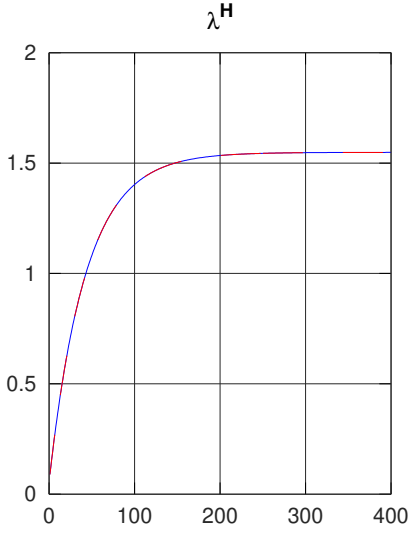
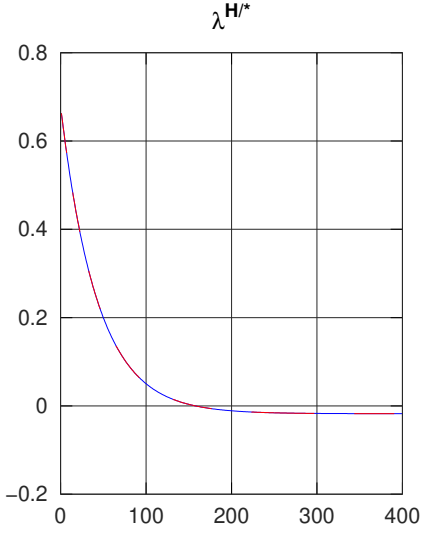
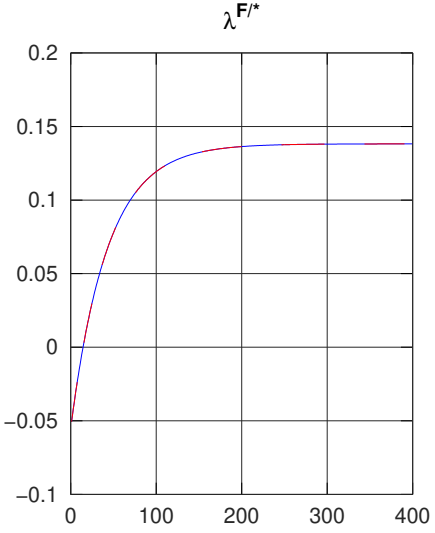
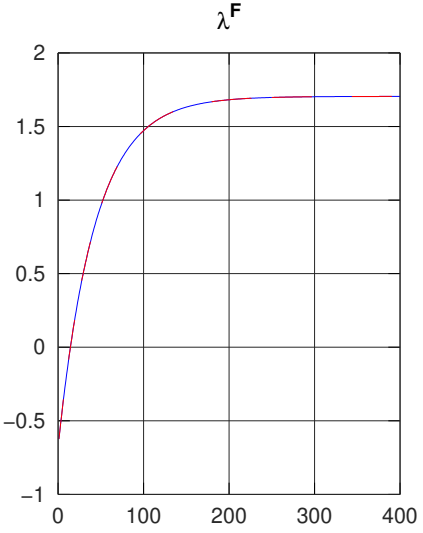
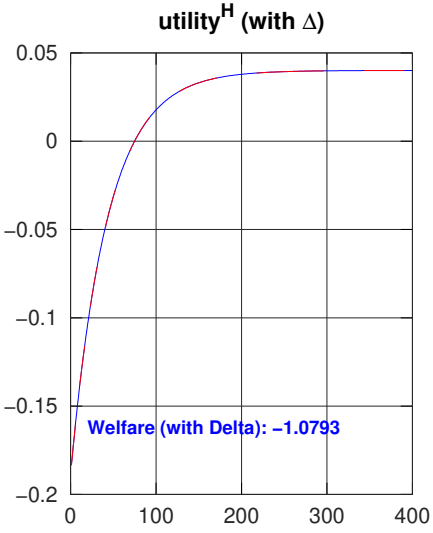

e
Stage 1 (Flex)
1
0.5
0
−0.5
−1
−1.5
−2
0
100
200
300
400

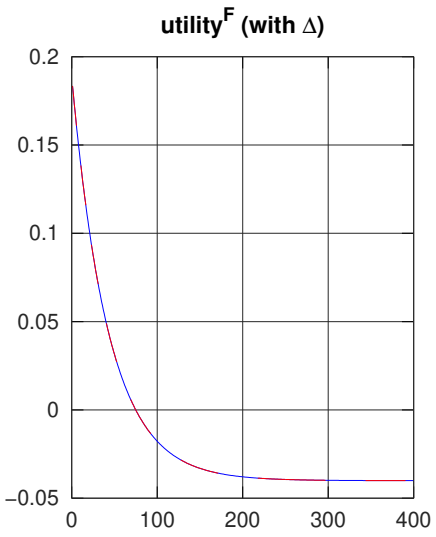

λ^H
2
1.5
1
0.5
0
0
100
200
300
400

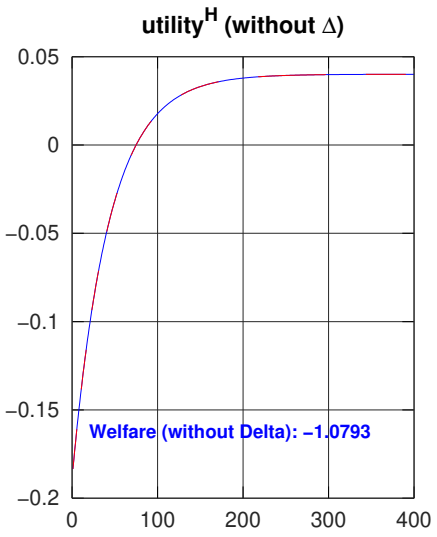

λ^H/*
0.8
0.6
0.4
0.2
0
−0.2
0
100
200
300
400

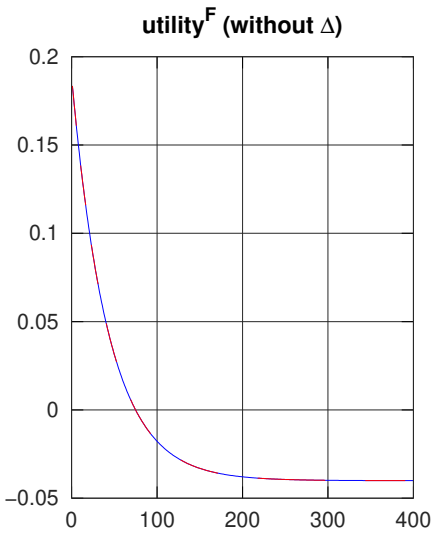

λ^F/*
0.2
0.15
0.1
0.05
0
−0.05
−0.1
0
100
200
300
400

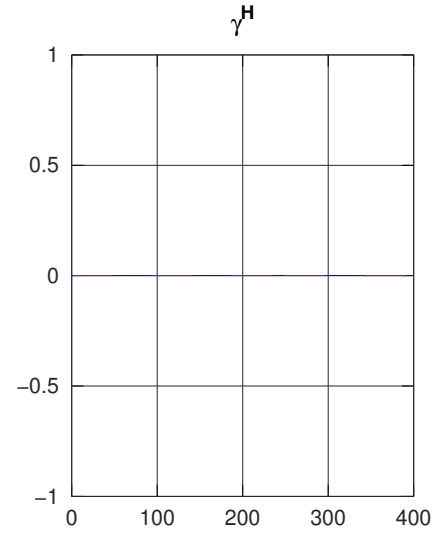

λ^F
2
1.5
1
0.5
0
−0.5
−1
0
100
200
300
400

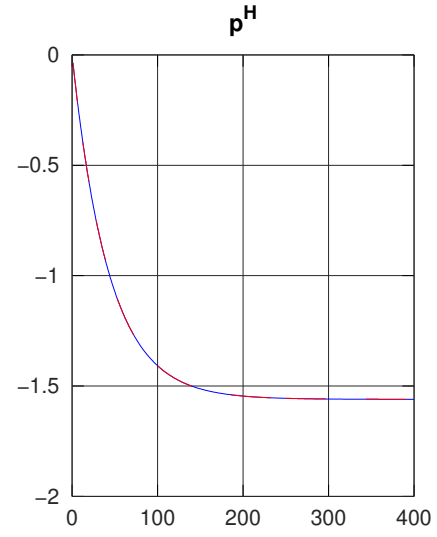

utility^H (with Δ)
0.05
0
−0.05
−0.1
−0.15
−0.2
Welfare (with Delta): −1.0793
0
100
200
300
400

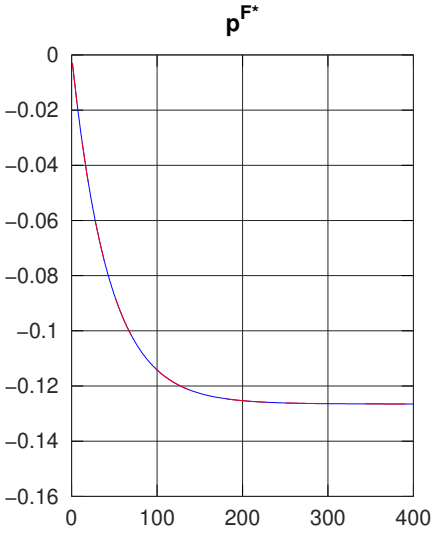

utility^F (with Δ)
0.2
0.15
0.1
0.05
0
−0.05
0
100
200
300
400

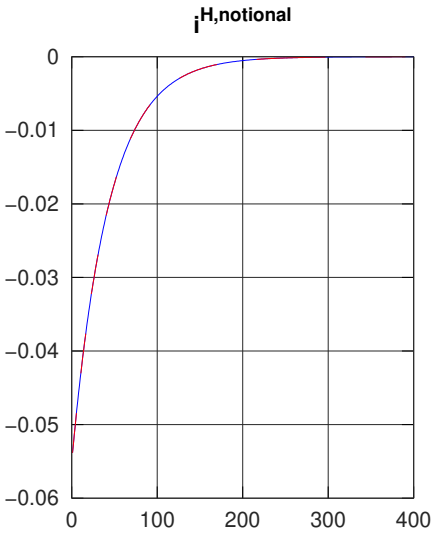

utility^H (without Δ)
0.05
0
−0.05
−0.1
−0.15
−0.2
Welfare (without Delta): −1.0793
0
100
200
300
400

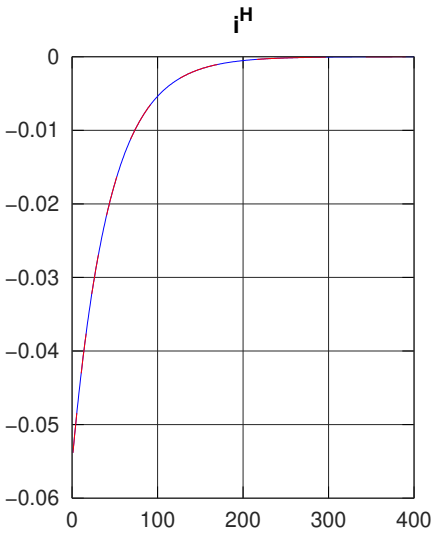

utility^F (without Δ)
0.2
0.15
0.1
0.05
0
−0.05
0
100
200
300
400

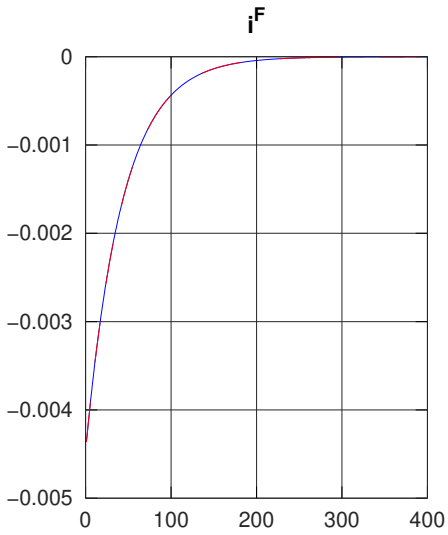

γ^H
1
0.5
0
−0.5
−1
0
100
200
300
400

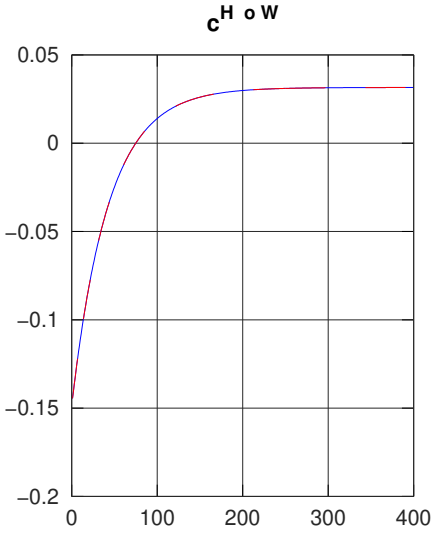

p^H
0
−0.5
−1
−1.5
−2
0
100
200
300
400

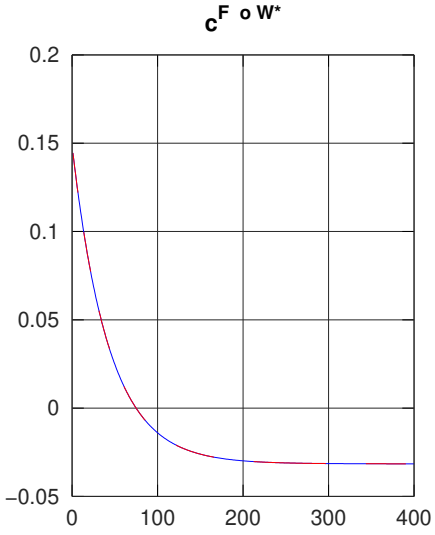

p^F*
0
−0.02
−0.04
−0.06
−0.08
−0.1
−0.12
−0.14
−0.16
0
100
200
300
400

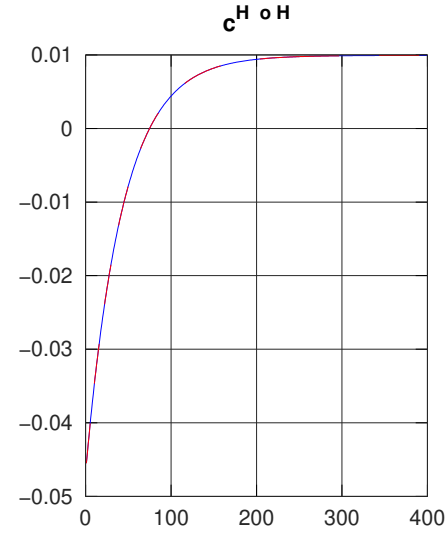

i^H,notional
0
−0.01
−0.02
−0.03
−0.04
−0.05
−0.06
0
100
200
300
400

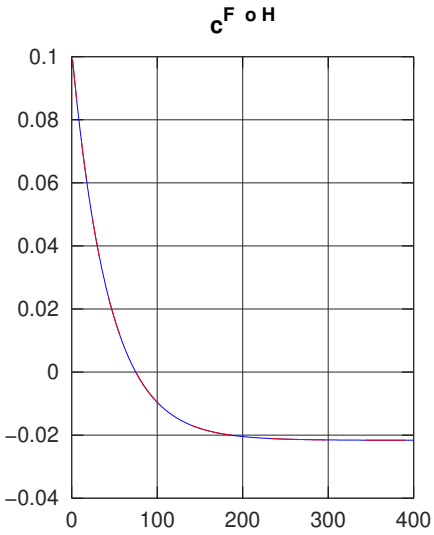

i^H
0
−0.01
−0.02
−0.03
−0.04
−0.05
−0.06
0
100
200
300
400

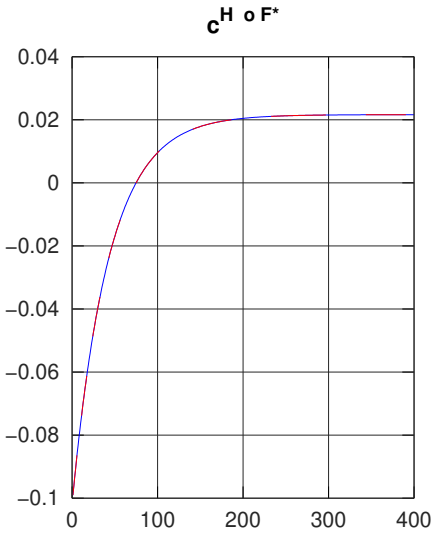

i^F
0
−0.001
−0.002
−0.003
−0.004
−0.005
0
100
200
300
400

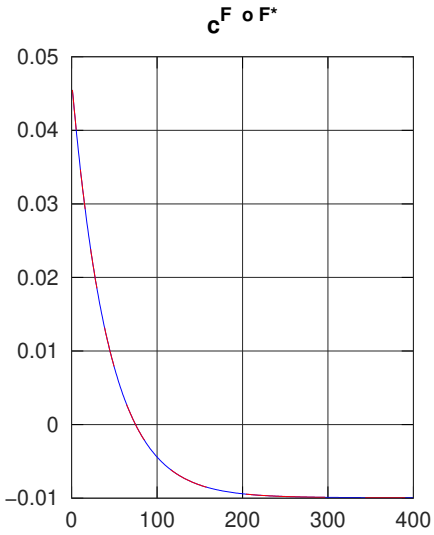

c^H o W
0.05
0
−0.05
−0.1
−0.15
−0.2
0
100
200
300
400

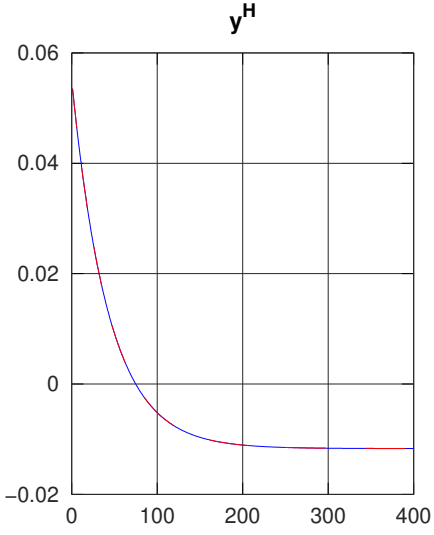

c^F o W*
0.2
0.15
0.1
0.05
0
−0.05
0
100
200
300
400

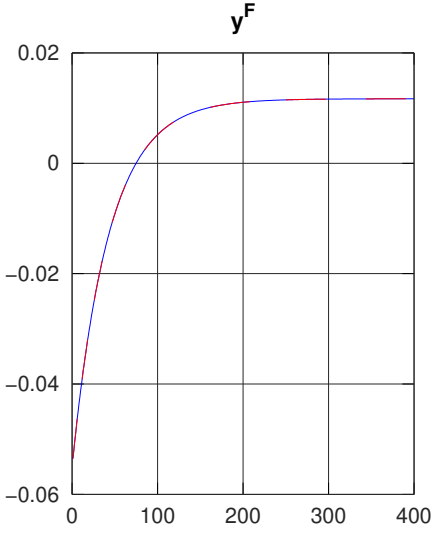

c^H o H
0.01
0
−0.01
−0.02
−0.03
−0.04
−0.05
0
100
200
300
400

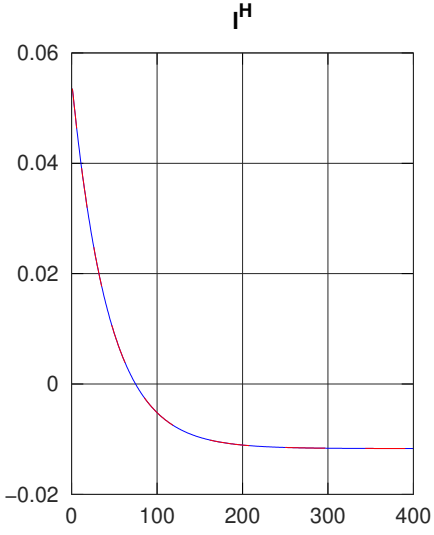

$c^{F \circ H}$
0.1
0.08
0.06
0.04
0.02
0
−0.02
−0.04
0
100
200
300
400

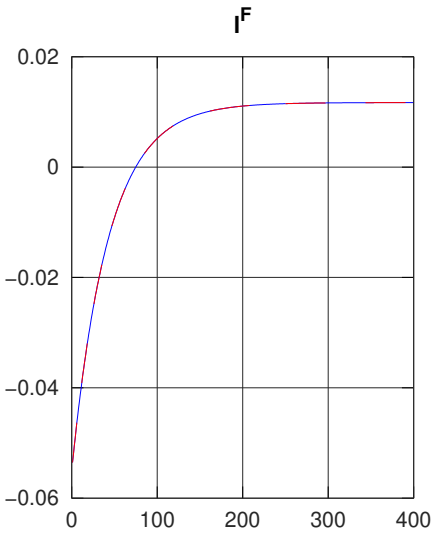

$c^{H \circ F^*}$
0.04
0.02
0
−0.02
−0.04
−0.06
−0.08
−0.1
0
100
200
300
400

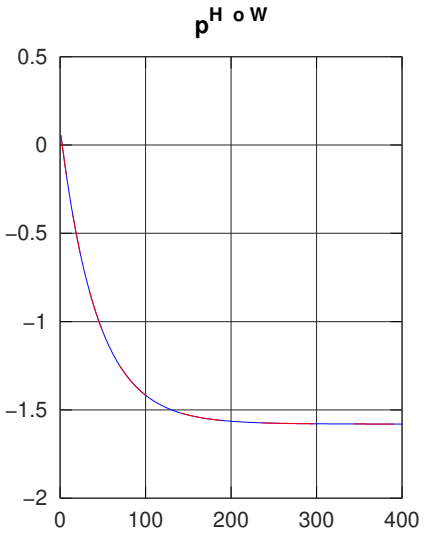

$c^{F \circ F^*}$
0.05
0.04
0.03
0.02
0.01
0
−0.01
0
100
200
300
400

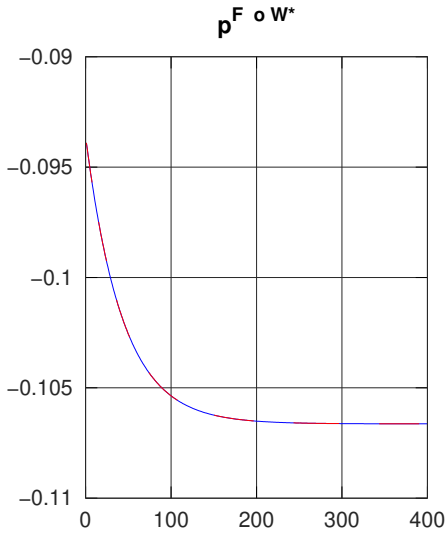

y^H
0.06
0.04
0.02
0
−0.02
0
100
200
300
400

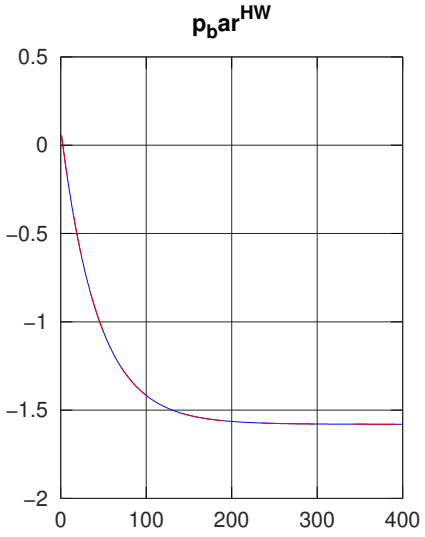

y^F
0.02
0
−0.02
−0.04
−0.06
0
100
200
300
400

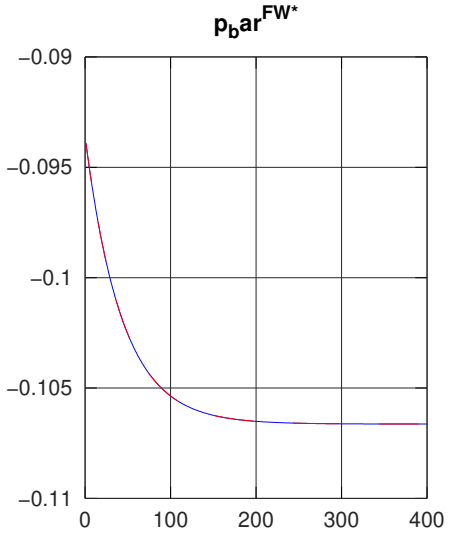

l^H
0.06
0.04
0.02
0
−0.02
0
100
200
300
400

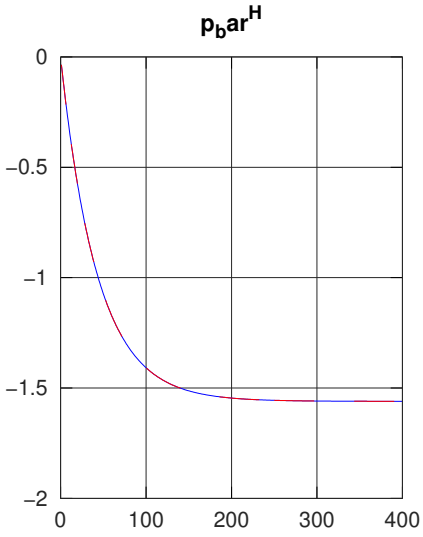

I^F
0.02
0
−0.02
−0.04
−0.06
0
100
200
300
400

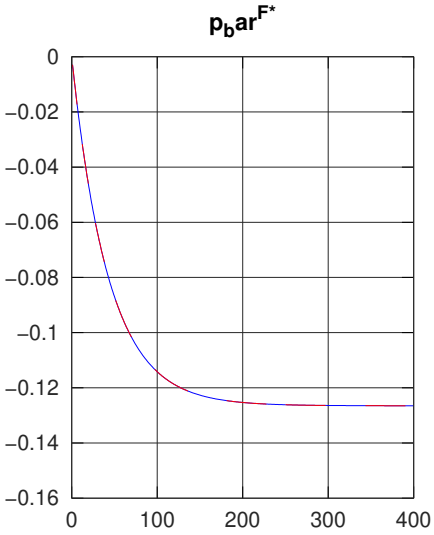

p^H o W
0.5
0
−0.5
−1
−1.5
−2
0
100
200
300
400

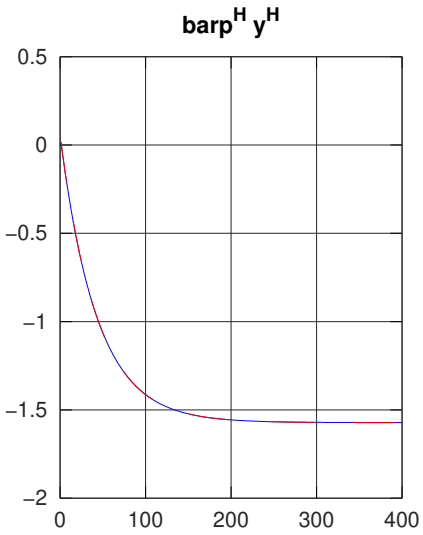

p^F o W*
−0.09
−0.095
−0.1
−0.105
−0.11
0
100
200
300
400

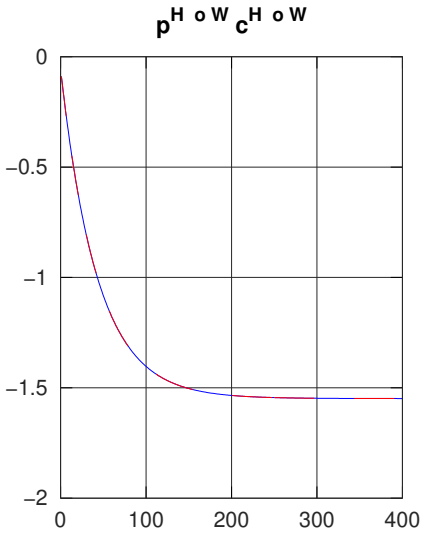

p_bar^HW
0.5
0
−0.5
−1
−1.5
−2
0
100
200
300
400

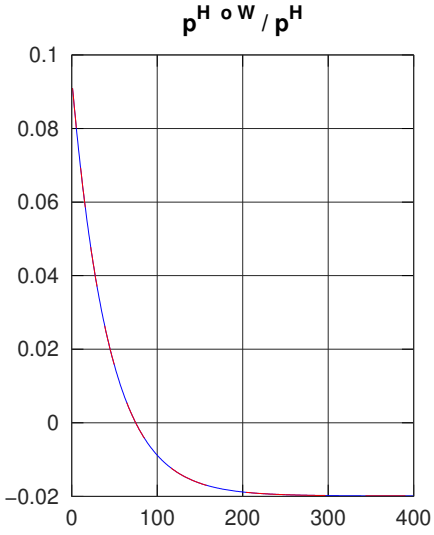

p_bar^FW*
−0.09
−0.095
−0.1
−0.105
−0.11
0
100
200
300
400

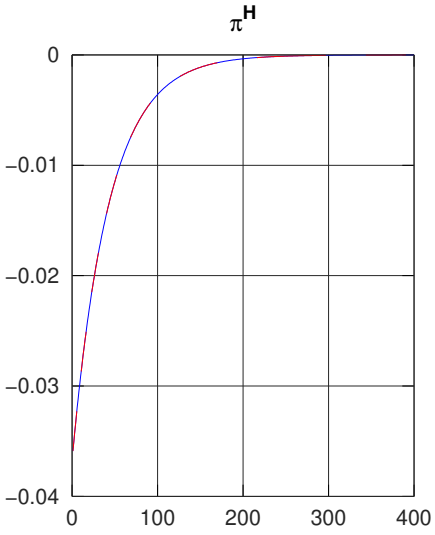

p_bar^H
0
−0.5
−1
−1.5
−2
0
100
200
300
400

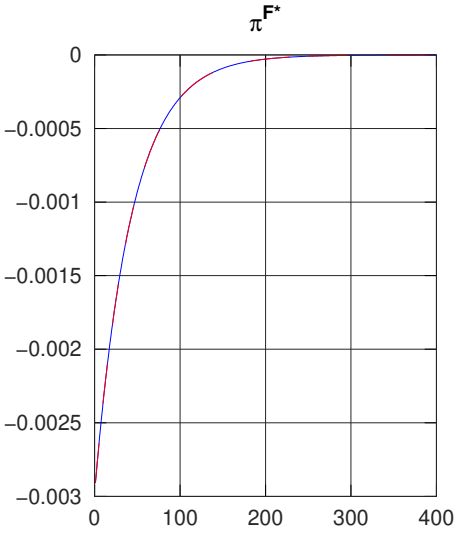

p_{bar}^{F*}
0
−0.02
−0.04
−0.06
−0.08
−0.1
−0.12
−0.14
−0.16
0
100
200
300
400

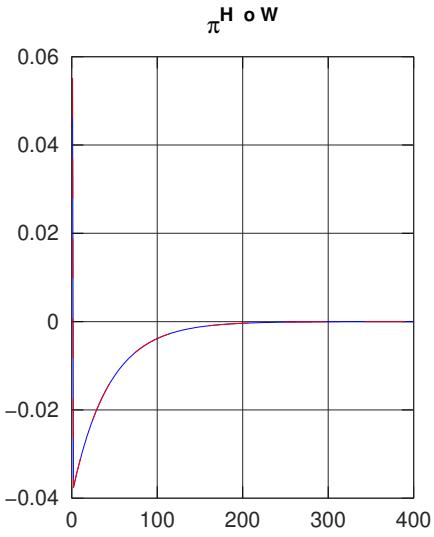

$barp^{H}\ y^{H}$
0.5
0
−0.5
−1
−1.5
−2
0
100
200
300
400

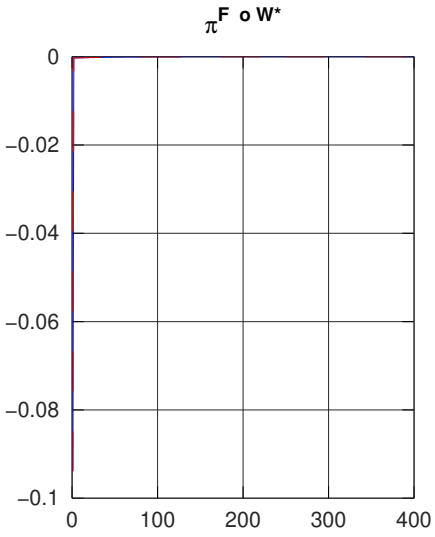

$p^{H\ o\ W}\ c^{H\ o\ W}$
0
−0.5
−1
−1.5
−2
0
100
200
300
400

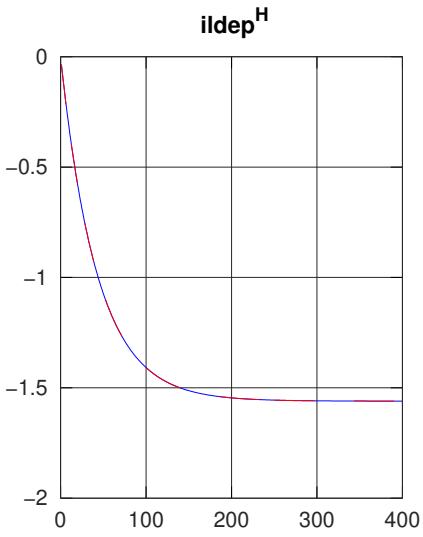

$p^{H\ o\ W}\ /\ p^{H}$
0.1
0.08
0.06
0.04
0.02
0
−0.02
0
100
200
300
400

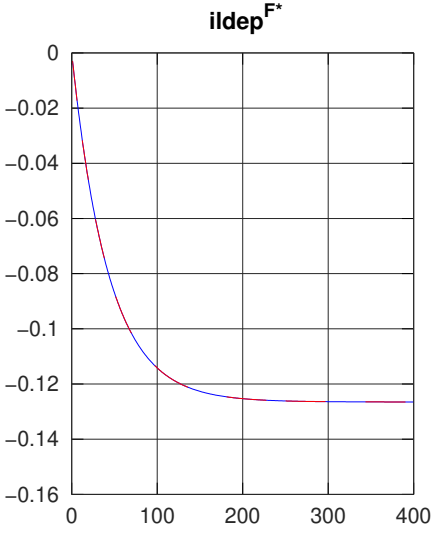

π^{H}
0
−0.01
−0.02
−0.03
−0.04
0
100
200
300
400

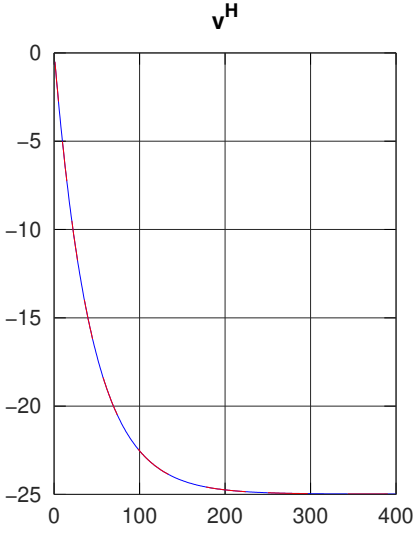

π^{F*}
0
−0.0005
−0.001
−0.0015
−0.002
−0.0025
−0.003
0
100
200
300
400

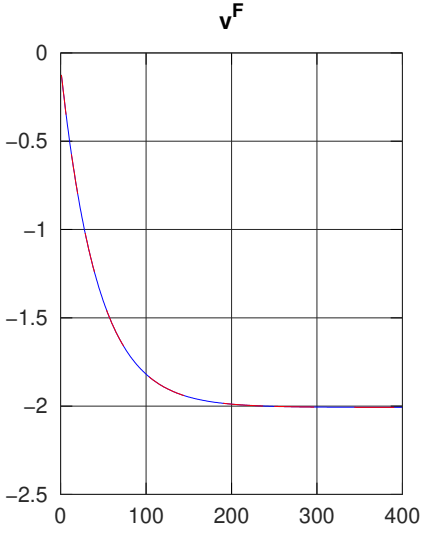

π^{H} o W
0.06
0.04
0.02
0
−0.02
−0.04
0
100
200
300
400

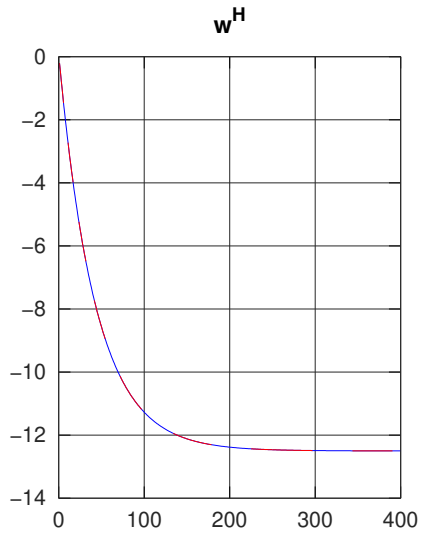

π^{F} o W*
0
−0.02
−0.04
−0.06
−0.08
−0.1
0
100
200
300
400

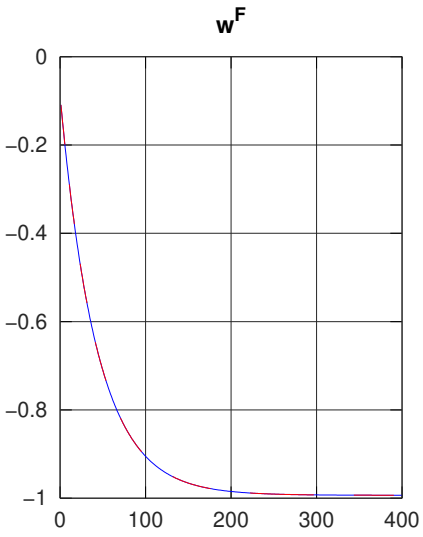

ildep^{H}
0
−0.5
−1
−1.5
−2
0
100
200
300
400

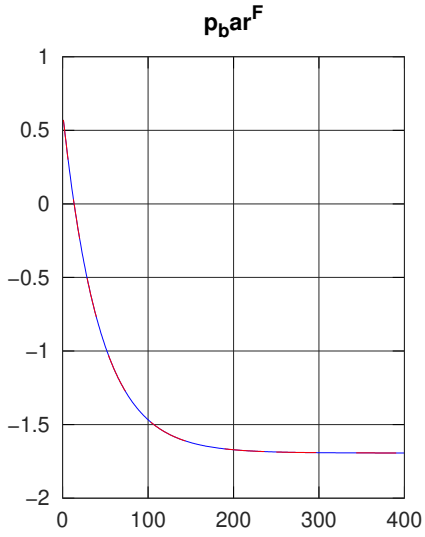

ildep^{F*}
0
−0.02
−0.04
−0.06
−0.08
−0.1
−0.12
−0.14
−0.16
0
100
200
300
400

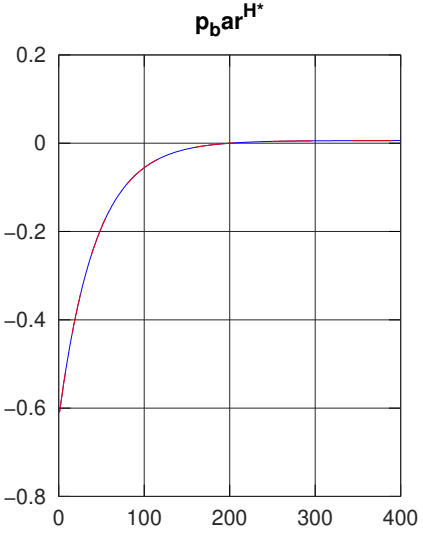

v^{H}
0
−5
−10
−15
−20
−25
0
100
200
300
400

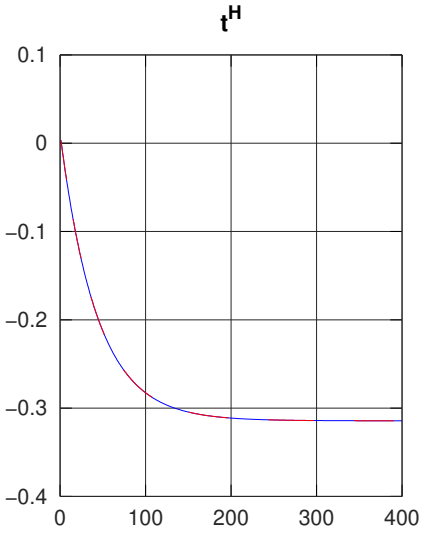

v^{F}
0
−0.5
−1
−1.5
−2
−2.5
0
100
200
300
400

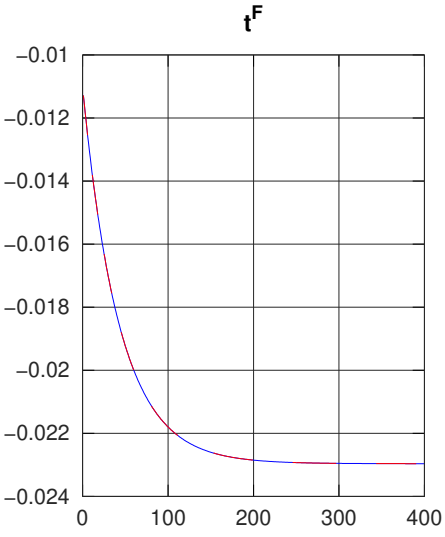

w^H
0
−2
−4
−6
−8
−10
−12
−14
0
100
200
300
400

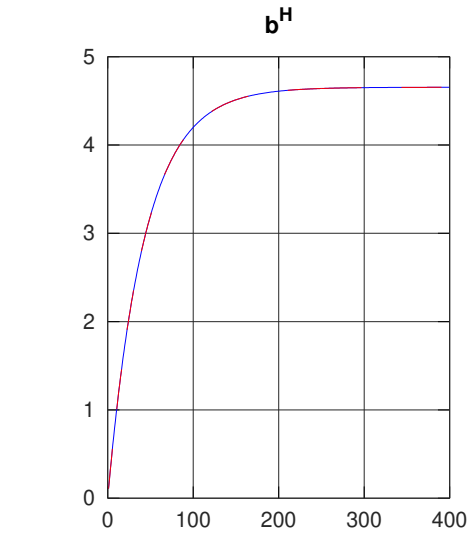

w^F
0
−0.2
−0.4
−0.6
−0.8
−1
0
100
200
300
400

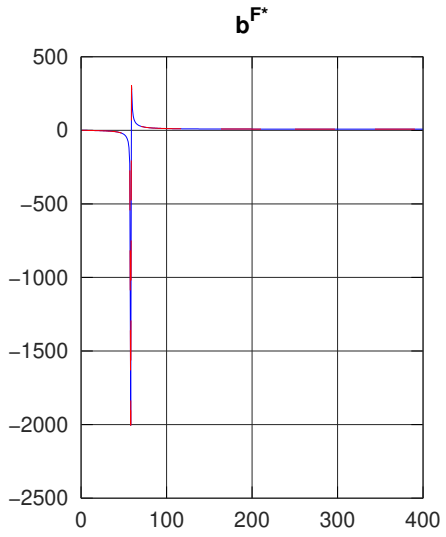

p_bar^F
1
0.5
0
−0.5
−1
−1.5
−2
0
100
200
300
400

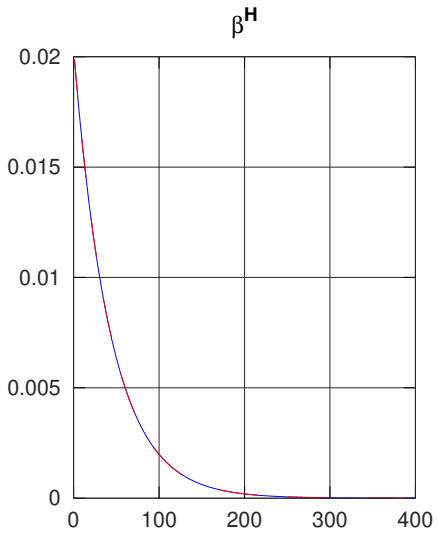

p_bar^{H*}
0.2
0
−0.2
−0.4
−0.6
−0.8
0
100
200
300
400

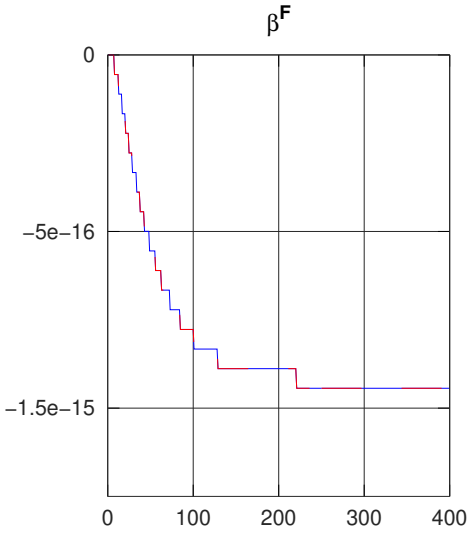

t^H
0.1
0
−0.1
−0.2
−0.3
−0.4
0
100
200
300
400

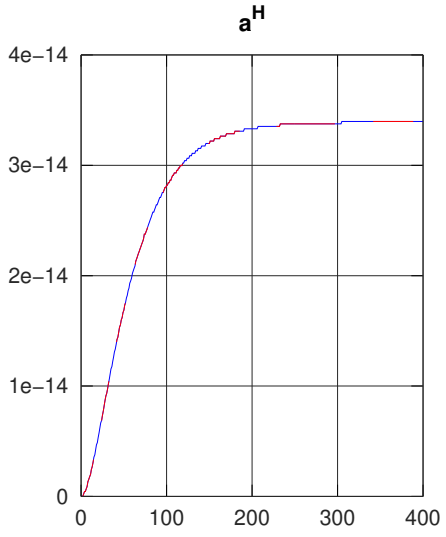

t^F
−0.01
−0.012
−0.014
−0.016
−0.018
−0.02
−0.022
−0.024
0
100
200
300
400

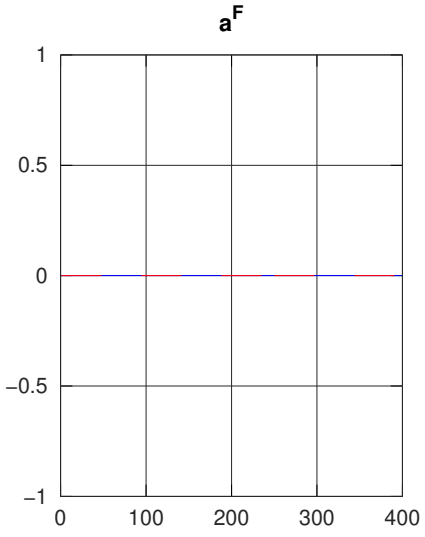

$\mathbf{b}^{\mathbf{H}}$
5
4
3
2
1
0
0
100
200
300
400

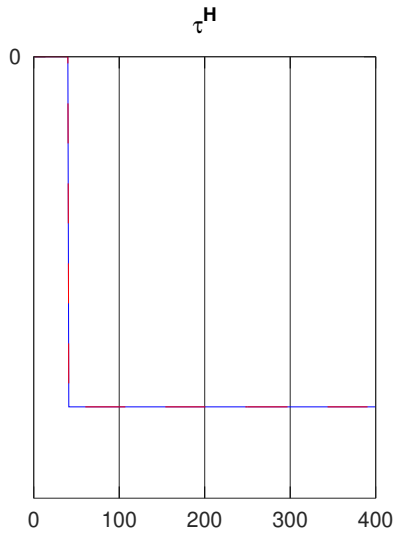

$\mathbf{b}^{\mathbf{F^*}}$
500
0
−500
−1000
−1500
−2000
−2500
0
100
200
300
400

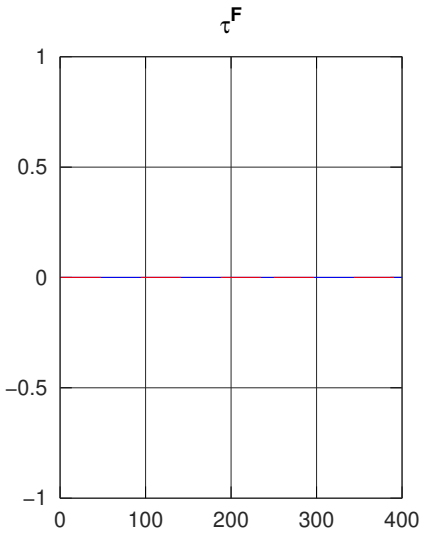

$\beta^{\mathbf{H}}$
0.02
0.015
0.01
0.005
0
0
100
200
300
400

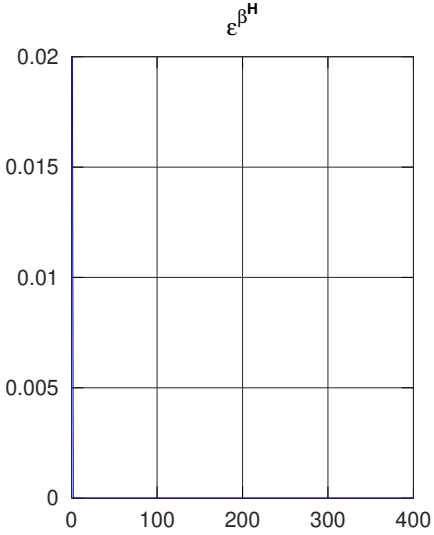

$\beta^{\mathbf{F}}$
0
−5e−16
−1.5e−15
0
100
200
300
400

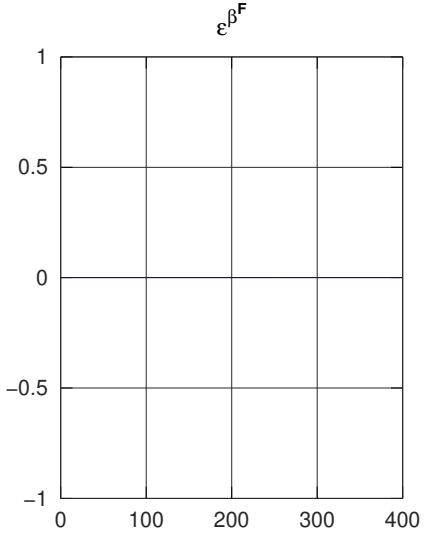

$\mathbf{a}^{\mathbf{H}}$
4e−14
3e−14
2e−14
1e−14
0
0
100
200
300
400

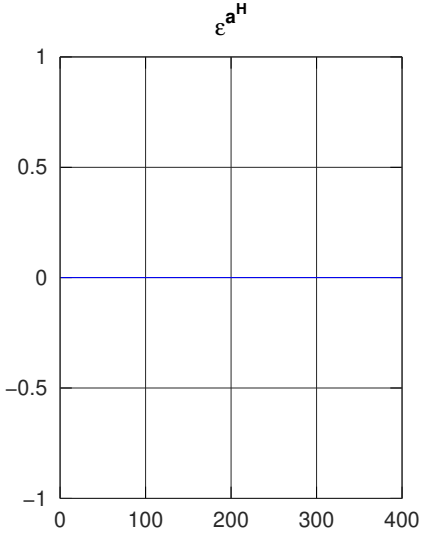

$\mathbf{a}^{\mathbf{F}}$
1
0.5
0
−0.5
−1
0
100
200
300
400

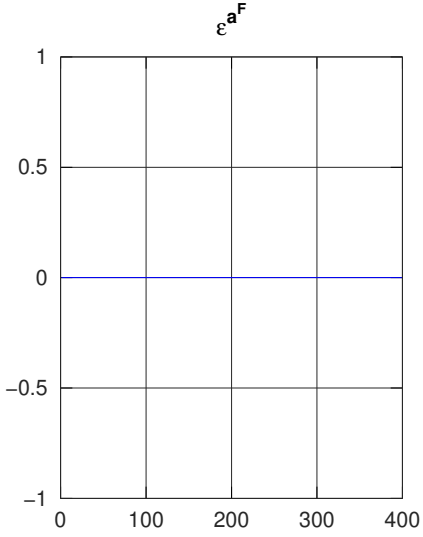

τ^{H}
0
0
100
200
300
400

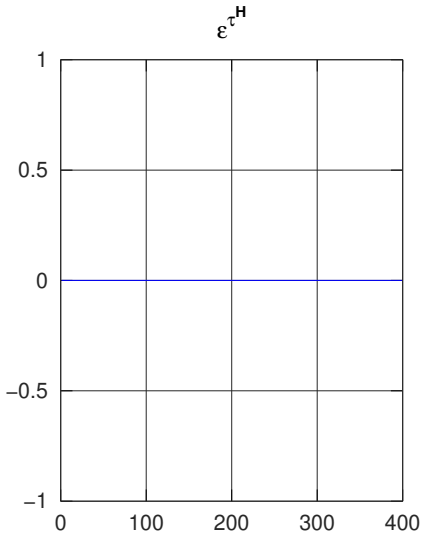

τ^{F}
1
0.5
0
−0.5
−1
0
100
200
300
400

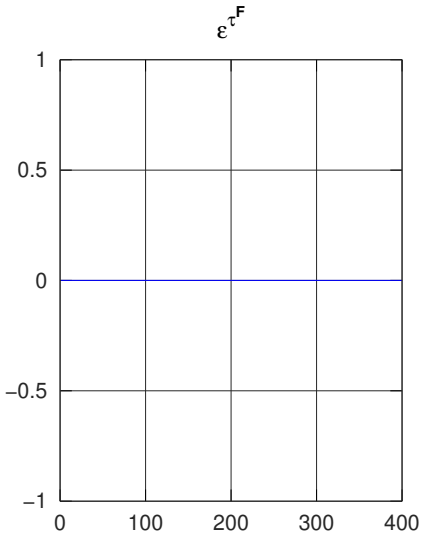

$\varepsilon^{\beta^{H}}$
0.02
0.015
0.01
0.005
0
0
100
200
300
400

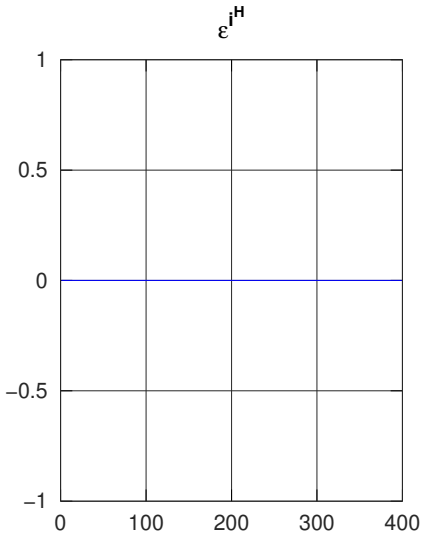

$\varepsilon^{\beta^{F}}$
1
0.5
0
−0.5
−1
0
100
200
300
400

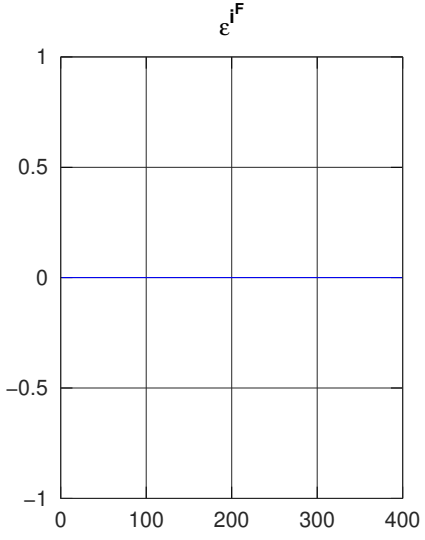

$\varepsilon^{a^{H}}$
1
0.5
0
−0.5
−1
0
100
200
300
400

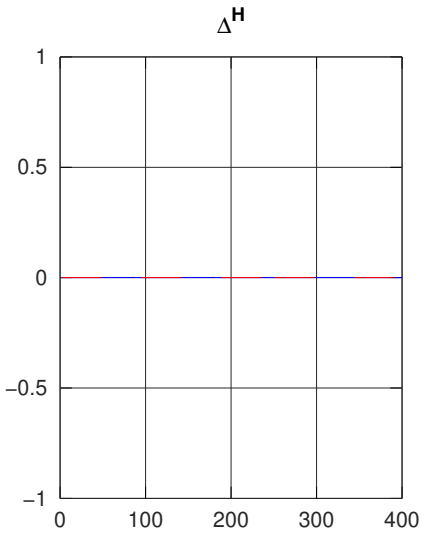

$\varepsilon^{a^{F}}$
1
0.5
0
−0.5
−1
0
100
200
300
400

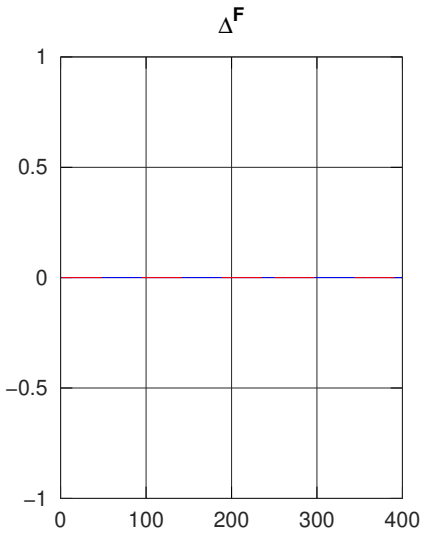

ε^{τ^H}
1
0.5
0
−0.5
−1
0
100
200
300
400


ε^{τ^F}
1
0.5
0
−0.5
−1
0
100
200
300
400


ε^{i^H}
1
0.5
0
−0.5
−1
0
100
200
300
400


ε^{i^F}
1
0.5
0
−0.5
−1
0
100
200
300
400


Δ^H
1
0.5
0
−0.5
−1
0
100
200
300
400


Δ^F
1
0.5
0
−0.5
−1
0
100
200
300
400